

Product Story Document – Brew Gold Coffee

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1. HISTORICAL BACKGROUND

Historically, coffee passed through several regions of the world before arriving in Brazil. With the known origin of the coffee plant being Ethiopia, its commercialization as a beverage passed through countries such as Yemen, Holland, France, Italy and Germany. The Europeans then introduced coffee to colonies throughout Africa and Latin America, spreading its consumption even further. This demonstrates the popularity of the product, which could captivate audiences from different cultures and eras.

Since its arrival in the Brazilian market, which occurred in the year 1727 according to the Brazilian Coffee Industry Association (ABIC), coffee became one of the greatest pillars of the national economy. By becoming the world's largest producer and exporter of coffee, Brazil was able to make structural investments in grain transportation modes, such as railways, and the states that participated significantly in this market early on experienced strong economic development, as is the case of São Paulo, which in addition to being a major producer, is also the country's main coffee exporter through the port of Santos.

2. TYPES AND PRODUCTION METHODS

Coffee beans existing throughout the world can be classified into more than 120 species. However, the Arabica and Robusta species, alone, make up nearly 100% of the global coffee market according to the International Coffee Organization (ICO), and both are present in the Brazilian productive market.

The Arabica coffee bean requires more specific planting conditions, such as an altitude between 700 and 2000 meters and well-drained soils to be cultivated. It produces a beverage with a softer, sweeter flavor, which can be reminiscent of fruits, caramel or chocolate, depending on the variety. Robusta coffee, on the other hand, is more resistant to pests and can be grown at lower altitudes, being generally used in blends with Arabica to produce affordable ready-to-drink beverages, which tend to present more bitter and less complex flavors, as well as higher amounts of caffeine.

In addition to the choice of bean, there is another factor that impacts the flavor and properties presented by the product: the processing carried out. The first stage is called beneficiation, where the bean is separated from the fruit's pulp. It occurs in one of three possible ways: Dry process (or natural), where the fruit is exposed to the sun whole so that the pulp dries; washed process, where the pulp is removed by machines using water, or Honey process, where the bean is partially washed, but a layer that sits between the pulp and the bean is maintained. In the dry method, the sugar from the pulp ends up being transferred to the bean, making

it sweeter, this being the most traditional method used by the Brazilian market. In the Honey method, part of the coffee's sweetness is preserved by not removing the intermediate layer, while in the washed method this does not happen, although the result is a cleaner coffee.

After being separated from the fruit, the bean is roasted, as the heating of the beans triggers chemical reactions that enhance the desired notes of chocolate, caramel or fruits, with the way this stage occurs being crucial in defining the characteristics the product will have at the end. While light and medium roasts cause the least possible damage to the bean's natural characteristics, dark roasting overwrites the coffee's flavor with a more bitter and intense one.

3. QUALITY STANDARDS AND CERTIFICATIONS

Due to the multiple processing methods mentioned above, in addition to varied cultivation conditions, there are some national and international organizations interested in classifying coffee products as to quality, in order to highlight those that best make use of the bean's unique natural attributes to generate a pleasant beverage.

The Specialty Coffee Association (SCA) is a community of coffee experts who evaluate products for flavor, aroma, acidity and balance to assign a score of up to 100 points. Coffees that receive at least 80 points from the evaluators are recognized as specialty. Specialty coffees above 85 points are considered excellent, and those surpassing 90 are outstanding. The experts who hold certification to carry out this evaluation are called Q Graders and were certified by the Coffee Quality Institute (CQI) or by the SCA itself.

Other than a Q Grade, coffee can also have a Designation of Origin (DO) associated, which is an official geographical certification that guarantees a product's quality and characteristics are directly related to the natural and human factors of its region of production, such as climate, soil, altitude, and local expertise. In the Brazilian coffee industry, regions with a Designation of Origin, such as Cerrado Mineiro, must comply with strict production and traceability standards, ensuring authenticity and consistent quality. This certification adds value to the product by providing consumers with confidence in its origin and unique regional identity. An Indication of Provenance (IP) can also recognize a region for their reputation in coffee production, but is a less strict certification than DO.

4. SUSTAINABILITY

As a natural product, coffee requires certain environmental conditions to be cultivated, among which the quality of the soil stands out. The preservation of biodiversity through agroforestry systems with the presence of native vegetation contributes to the quality of the coffee obtained, and is a practice found in many Brazilian farms, with each farm's practices determining whether the process will be sustainable or not.

Sustainable production farms use fewer pesticides to eliminate pests, opting for practices such as biological control instead. Water use, which is necessary especially for the washed beneficiation method, must

be efficient and include reuse and treatment systems. Waste generated by coffee production, such as the removed pulps and husks, must be used to produce organic fertilizer, also helping to preserve soil quality.

Coffee companies and producers can be certified for sustainability by organizations such as the Rainforest Alliance, which verify whether the current production system demonstrates environmental, social and economic responsibility through periodic audits. Criteria such as the preservation of local biodiversity, reduced water consumption and adequate working conditions can allow these companies to display the Rainforest Alliance seal on their products.

Another relevant organization is Fairtrade, which focuses on commercial aspects such as the practice of fair prices, and adequate working conditions. Coffee production has a great impact on the rural economic ecosystem, as it incentivizes small producers and offers work opportunities, which consequently discourages rural exodus that can worsen social inequalities in urban centers. Therefore, the Fairtrade evaluation helps to ensure that these environments offer adequate salaries, working hours and conditions to those involved.

5. PRODUCERS

Over time, coffee production in Brazil came to be concentrated in two states in the Southeast region. Minas Gerais, responsible for more than 50% of national production according to the National Supply Company (Conab), has high-altitude regions ideal for the cultivation of Arabica coffee. Espírito Santo, in turn, occupies the second position in the Brazilian producer market with nearly 20%, being this state the largest national producer of Robusta coffee.

This ecosystem is made by thousands of coffee producers, ranging from family-owned farms to large cooperatives and internationally recognized companies. Examples include Cooxupé and Expocacer, two major cooperatives that support thousands of producers and export Brazilian coffee worldwide, as well as specialty coffee farms such as Fazenda Daterra and Fazenda Ambiental Fortaleza, which are known for their high-quality production and sustainable practices.

The Brazilian coffee market has many recognized regions, such as Matas de Minas, but only six regions are classified with Designation of Origin (DO), the highest regional quality certification, previously mentioned, of which four cover territories in the state of Minas Gerais. Among them, Cerrado Mineiro is a region with highly prominent organizations, such as Expocacer and Fazenda Daterra.

6. CONCLUSION: THE COFFEE TO BE SOLD

Thinking about the Chinese consumer audience, which has demonstrated a preference for sweeter flavors with lower acidity, the group believes that specialty coffees are the ideal choice, as these undergo less artificial interference in their processing, avoiding processes such as washing and dark roasting that remove nutty, chocolatey or fruity notes from their flavor.

Specialty coffees are predominantly of the Arabica species, have a score above 80 on the Specialty Coffee Association's criteria and, in many cases, are grown in certified regions such as Cerrado Mineiro and Mantiqueira de Minas, both by large farms, such as Fazenda Daterra, and by small and medium producers associated with cooperatives such as Expocacer.

The production of this type of coffee encourages the preservation of local biodiversity and the maintenance of soil quality due to the needs of proper bean cultivation, in addition to developing rural communities and generating employment in other stages of the productive chain, playing a great impact on the Brazilian economy in a sustainable manner.